Outcome-Based Agents and Agentic Orchestration

Investment theses and category views on AI agents that do enterprise work and get paid for results

1. Investment theses: tailwinds, key takeaways and macro

This theme covers AI agents that complete a piece of enterprise work from start to finish, such as resolving a support ticket, working a denied medical claim or placing a purchase order, and that are paid per result or per unit of work rather than per user. It also covers the orchestration software that lets a company run many agents under common rules. Five groups compete for this work, namely the model labs and cloud providers, the systems of record such as Salesforce and SAP, enterprises building their own agents, systems integrators and outsourcers, and vertical applications built for one job in one industry.

1. **Spending on agents is moving from software budgets to labor and outsourcing budgets, because agents now finish whole jobs and seat pricing breaks once software replaces the people who held the seats**
   - Model releases in the past year made agents reliable enough to run inside old enterprise software, and Pace, an insurance operations startup, says its success rate on tests that drive old insurance screens rose from 30% to over 95% with a single new model (Pace, claim). Gartner expects agentic AI funding to grow 31.8% in 2027 against 3.7% for IT budgets overall (Gartner).
   - The budget agents compete for is labor, which buyers measure in wages and outsourcing invoices. The US employs 2,666,000 customer service representatives at a median wage of $44,770 (BLS), about $119B a year by our estimate, and HFS Research expects $422B of business process outsourcing (BPO) spending to shift to software that does the work by 2035 (HFS Research).
   - Seat pricing stops working once software does the work, because a vendor whose agent replaces five people loses four of the seats it used to bill. Zendesk's CEO says "seats are going to go away over time" (Zendesk), and the share of AI software vendors using outcome-based pricing rose from 18% to 23% in six months (ICONIQ).
   - The leading customer service platforms already charge per result, so buyers can compare prices per resolution across several vendors today. Fin, the customer service software company formerly called Intercom, charges $0.99 per resolution (Fin), HubSpot charges $0.50 per resolved conversation (HubSpot) and Zendesk bills its agents per automated resolution (Zendesk).
   - The labs and cloud providers are paying to get agents installed, which shortens the path to production for every vendor. Google set up a $750M partner fund (Google Cloud), and postings for forward-deployed engineers (FDEs), engineers who build each customer's deployment on site, passed 7,300 in the first nine months of 2026 against under 200 in 2023 (Lightcast via CIO Dive).
2. **New companies have an edge where they sell a finished job in one industry and take responsibility for the result, because the labs sell general tools and the incumbents mostly add AI to the seats they already sell**
   - A vertical company knows the rules, exceptions and systems of one kind of work, which a general model does not learn from public data. Box's CEO Aaron Levie argues that closing the gap between the roughly 70% accuracy of a model off the shelf and the 97% a business needs is what makes work automatable (Sequoia Capital podcast).
   - Getting an agent into production is mostly integration and testing, so a company that brings its own engineers and owns the result gets through where software alone stalls. Cresta's head of forward-deployed engineering says one month of building an agent can mean two to four months of testing and evaluation (expert call).
   - Companies that take legal or regulatory responsibility for the work keep more of the price, because buyers otherwise keep a person on the last step. Crosby is a registered law firm whose lawyers take liability for the

contracts its AI reviews (Lux Capital), so it can sell the finished review of a contract instead of software that helps a lawyer do it.

- The incumbents often bolt agents onto old products and the labs avoid customer-specific work, which leaves room for specialists. Discover found the AI products of the contact-center incumbents "more of a bolt-on" (expert call), and Edison Scientific's CEO says the labs avoid training on each customer's data because "they don't want to have a different model for every customer" (Edison Scientific, claim).

3. **Buyers price an agent against the outsourcer or headcount it replaces, so vendors win fastest by guaranteeing a measurable saving at a predictable price while buyers keep switching easy**
   - The price an agent replaces is the outsourcer's invoice, and savings at the first buyers are wide enough to close deals quickly. Notion says its offshore support model cost "4X to 7X" what Decagon costs (expert call).
   - Agent companies increasingly sell into the operating department's services budget, which is easier to reach than the IT software budget. A Duvo co-founder sells from the "service budget line, because it is easier to procure" (Duvo, claim).
   - Buyers want to know what they will spend, so pure outcome pricing slows a sale even when the buyer likes the idea. In a fintech vendor selection that Sierra lost, the buyer wanted "a more transactional pricing without outcome commitment" (expert call), and 27 of 50 buyers in an a16z survey preferred credits tied to work over tokens (a16z).
   - Buyers keep their data, procedures and tools in their own systems so any vendor can be replaced, which caps the price a vendor can hold once rivals catch up. Chime routed tickets across three customer service vendors through a router it built itself (expert call).
4. **We should back agent companies whose resolution rate and deployment cost already improve with each customer, because margins sit between outsourcing and software and move toward software only when both improve**
   - AI products earn gross margins of 50% to 60% against 80% to 90% for traditional software (Bessemer), and ICONIQ's survey projects AI product margins rising from 45% in 2025 to 59% in 2027 (ICONIQ via HackerNoon). Pace's CEO puts outsourcers at "10, 15 percent gross margin" and targets 80% for his own company (Pace, claim).
   - Under per-resolution pricing the vendor pays for model usage on every conversation but bills only the resolved ones, so the resolution rate drives margin directly. Fin's CFO says a resolution rate that rose from about 25% to close to 70% improved margin (Fin, claim), and Decagon runs about 90% of its workloads on cheaper fine-tuned open-source models (PYMNTS).
   - Deployment cost falls with each agent a customer adds, which is where margins improve over the life of an account. Safelite's first Sierra agent took six months and its second one month, and setup ran to "at least 35%-40% of your first year spend" (expert call).
   - The vendor keeps a thin slice of the savings it creates, so it needs volume to build a business. Safelite measured a 35% to 40% cost cut and gave Sierra about 10% of it (expert call), so on $10M of handled cost the vendor earns $350,000 to $400,000 a year by our estimate.
5. **The labs and systems of record will absorb any agent that sells a generic, countable task, so we should back companies that hold industry knowledge or legal liability the platforms lack**
   - The labs now ship finished agents and give away the tools around them, which moves them into the job itself. OpenAI's Presence is a complete customer service agent with written procedures, guardrails and automated scoring of its answers (OpenAI), and Anthropic has released plugins for 12 legal practice areas (Anthropic).
   - The systems of record are selling agents into their installed base with the customer data already in hand. Salesforce's Agentforce passed $1.5B of annual recurring revenue (ARR) on a definition widened to include Slackbot (Salesforce), and ServiceNow's AI products passed $1B of annual contract value (ServiceNow).

- The main exit so far went to an incumbent at a price well below the private valuations of the leaders, which limits the return on late entries. Salesforce paid about $3.6B for Fin (Salesforce), while Sierra and Decagon raised at roughly 75 to 100 times and about 45 times ARR by our estimate (company reports), with Decagon's multiple pairing its January 2026 valuation with revenue it reported later in 2026. A company priced at 100 times ARR has to grow revenue about tenfold before a sale at 10 times ARR returns the entry price, by our estimate.
- Industry knowledge, a license and work that runs across many outside parties are the hardest things for a platform to copy, so new companies win in back-office and regulated work that enterprises already pay outsiders to do. Startups are concentrated there as well, with 87 of the 121 companies we track building vertical applications (our count).

2. Interesting categories

The categories follow the five groups in our primer, with vertical applications split into front office, back-office operations and regulated services, and each company is listed in one category only.

A. Labs and Hyperscalers

Agent Platforms, Frameworks and Infrastructure

- **Tailwinds: Agents are moving into production at most companies that build them, and the labs and clouds supply the models, platforms and runtimes those agents run on.** In a LangChain survey of agent builders, 57% said they already had agents in production (LangChain), and Microsoft says Agent 365 registered nearly 40 million agents across tens of thousands of companies two months after launch (Microsoft earnings call).
- **Each lab and cloud now sells a full platform to build, run and govern agents, so enterprise agent spending flows through them.** OpenAI launched Frontier to build, deploy and manage agents, with HP, Intuit and Uber among its first named adopters (OpenAI), and AWS added a managed agent loop and agent payments to AgentCore in 2026 (AWS).
- **Agent frameworks have become a standard way for developers to build agents, and the clouds now plug them into their own deployment tools.** Google's Agents CLI ships a LangChain extension so that LangChain and LangGraph agents use Google's tools to deploy, test and monitor them (Google for Developers).
- **Every agent in production also needs testing, monitoring, permissions and billing, which adds spending around each agent a company runs.** A coding agent at PocketOS, a maker of software for car rental businesses, deleted the production database and its backups in nine seconds using an access token with broader rights than the task needed (Euronews).
- **Headwinds: The labs give away the harness, the software that runs a model through a task and calls its tools, or price it near cost, which caps what an independent vendor can charge.** OpenAI's Agents API adds no fee on top of model usage (OpenAI), and Anthropic charges $0.08 per session-hour for its managed version (Anthropic).
- **The labs are also building testing and improvement tools into their own agents, which removes the reason to buy them separately.** OpenAI's Presence ships with test conversations, automated scoring of answers and a loop that improves the agent, all of which independent testing vendors sell as products (OpenAI).
- **Buyers rarely pay for neutrality across models, which weakens the main argument for an independent layer.** An Accenture managing director calls models "such commodities" and says routing between them is "hardly ever" used by his clients (expert call).
- **Why we should not focus here: The labs and hyperscalers own the models and agent platforms that every other category runs on, so in this theme they act as the suppliers and likely acquirers our startups depend on.** Independent frameworks and infrastructure sell to engineering teams on usage while the labs

bundle the same tools free, so these companies compete with their suppliers and, by our estimate, tend to sell to a lab or cloud at a modest price.

Example companies: OpenAI, Anthropic, Google, Microsoft, Amazon Web Services, LangChain, CopilotKit

B. Systems of Record

Incumbent Platforms as Channel, Acquirer and Absorber

- **Tailwinds: Outcome pricing moves value to the company that holds the record, because a result can only be counted and billed where the ticket, claim or order is opened and closed.** To bill per resolution a vendor must know whether the customer came back or a person stepped in, and that history sits in the help desk, the customer database or the enterprise resource planning (ERP) system. Truist research says outcome pricing especially favors systems of record, which hold the detailed customer and operating data a result is measured against (Truist research).
- **The record holders define and count the resolutions they bill, which lets them set the effective price.** Zendesk bills a resolution only after its own language model reviews the conversation and confirms the request was met, and cases handed to a person are not billed (Zendesk). Fin bills when the customer confirms the answer or leaves without asking for more help (Fin).
- **The incumbents sell agents to customers they already have, which reaches buyers faster than any startup can.** Salesforce says half of its agent bookings came from existing customers buying more prepaid usage (Salesforce earnings call), and a KPMG partner says ServiceNow's AI faces "few viable alternatives" in core IT service management (expert call).
- **The record holders are buying agent companies built on their platforms, which gives those startups a likely acquirer.** Workday is buying C1.ai (Workday), SAP is buying TechWolf (SAP) and Guidewire invested in Sixfold (Sixfold).
- **Headwinds: Buyers distrust resolution counts they cannot check, which slows the move to per-result billing at every vendor.** Workfabric AI, a Sierra customer, audits Sierra's resolution count itself because it cannot see how a resolution is defined (expert call), and Zendesk's default test treats 72 hours without a customer reply as a resolution (HackerNoon).
- **Incumbent outcome pricing is uneven outside customer service, so the pricing shift at the platforms is slower than the headlines suggest.** Salesforce sells most agent work through prepaid credits at $0.10 per action (Tech Insider), and SAP's CFO says revenue linked to outcomes will not move its 2027 numbers (SAP earnings call).
- **Seat-based incumbents lose seats as agents do the work, which pushes them to raise prices and leads buyers to question the platform.** The KPMG partner reports shrinking seat counts and growth led by price increases (expert call), and Wawa's CIO asks "Do I even need to have a ServiceNow platform?" (expert call).
- **Why we should not focus here: Systems of record are established incumbents that most agent spending will run through, so they matter to us as the channel, the likely acquirer and the main absorber of any startup whose work they can copy.** They hold the data, permissions and audit trail that outcome pricing needs, so we should test every startup in the theme against how hard its work is for the record holder to rebuild.

Example companies: Salesforce, Zendesk, HubSpot, ServiceNow, SAP, Oracle, Workday

C. Enterprises Building Their Own

Horizontal Orchestration and Work Context

- **Tailwinds: Enterprises run hundreds of systems and many agents, and someone has to coordinate them, set permissions and record what each agent did.** Ema's founder says "every enterprise today has hundreds of applications" and thousands of people acting as glue between them (Ema, claim).

- **Agents perform far better when they know how work is actually done, which makes a record of real work patterns valuable to every agent a company runs.** Collibra's CEO cites agent accuracy rising from about 30% without business context to about 90% with it (VentureBeat).
- **Companies selling into this layer report fast growth from enterprise customers, although the figures are their own.** Ema reports bookings over $150M (Ema, claim), and Skan AI, which records how work gets done and feeds that record to agents, reports revenue growth over 300% with existing customers spending about 50% more each year (Skan AI, claim). Workfabric AI, which coordinates employees toward goals such as finding new revenue, already earns revenue, and Cognizant plans to deploy 1,000 engineers on its platform (Moneycontrol).
- **Headwinds: Enterprises that buy a horizontal platform learn from it and build their next agents themselves, which caps how far each account grows.** Hitachi chose Ema over a 12 to 14 month internal build, then said "Today, for other use cases, we don't depend on Ema" and expects its spending to grow only 5% to 10% (expert call).
- **Work context goes stale quickly, so a map of how work gets done loses value unless someone keeps it current.** Collibra's CEO says that accuracy fell back to 60% two months later (VentureBeat).
- **The clouds and systems of record give the coordination layer away to win the platform.** ServiceNow made its AI Control Tower free for a year (ServiceNow), and Microsoft sells Agent 365 to govern every agent a company runs (Microsoft).
- **The labs are moving into work context, so the companies that map work face the suppliers of the models they feed.** A Skan AI director says "Once Claude figures out how to do this themselves, they don't need us" (expert call).
- **Why we should not focus here: Horizontal orchestration sells a platform that enterprises increasingly build themselves or receive free from a platform they already own, so pricing power falls as the customer's own team learns.** Sales cycles run about nine months by Ema's account (Ema, claim), and expansion stalls once the customer builds its own agents. Work context has the better economics of the two, because a record of how work really gets done improves every agent a company runs, but Celonis, the process-mining company, and the labs already compete for that layer, so we should not back standalone work-context companies.

Example companies: Ema, Duvo, Workfabric AI, Sycamore, Relevance AI, UiPath

D. Systems Integrators and BPOs

AI Services and AI-Native Outsourcers

- **Tailwinds: Systems integrators are a main channel for enterprise agent deployments, and the labs are paying them to do the work.** Anthropic committed $100M to a partner network for the integrators that deploy its models (Anthropic).
- **Outsourcing is the budget agents replace, and the incumbent outsourcers are already losing ground.** Concentrix wrote down $1.05B of the value it had booked for past acquisitions after its share price fell (Concentrix), and Teleperformance's core services revenue fell 1.0% in the second quarter of 2026 on a comparable basis (TP).
- **Automation lets services firms trade revenue for margin, which gives them a reason to adopt agents quickly.** A Cognizant practice head says the agent platform costs under $10,000 per worker a year against revenue above $20,000 per outsourced worker, and "Our revenues go down, but our margins go up" (expert call).
- **Headwinds: AI-run outsourcing is already in a price war, because the same models are available to every provider.** A TTEC vice president says outsourcing rates for health insurers fell "between 20% and 40%" in two years and that "Right now, there is no protection in the industry" (expert call).

- **The customer keeps the data, so switching providers is easy and contracts do not compound.** An executive at Accelerant, an insurance company that buys outsourced operations work, says "All the data is living within our existing systems" (expert call).
- **Discounting before the automation works erases the margin a services firm starts with.** Crescendo, an AI-native outsourcer, cut prices 10% to 40% while its costs stayed flat, and a former director says "Gross margin did tank heavily" (expert call).
- **Why we should not focus here: Services firms earn on people and hours, so automation shrinks their revenue even as it lifts their margin.** AI-native outsourcers that undercut the incumbents fight a price war with no switching costs because the data stays with the customer. Integrators matter to the theme as the channel that installs agents in enterprises, and the recurring value goes to the software they deploy, so we should back the vertical products that integrators resell and treat the services firms as partners and acquirers.

Example companies: Crescendo, DeepOpinion, Otera, Distyl AI, Accenture, Deloitte, Cognizant, TCS, Teleperformance, Conduent

E. Vertical Applications

E1. Front Office: Customer Service and Sales

- **Tailwinds: Customer service is the first job paid per result at scale, because a resolved ticket is easy to count and the labor it replaces is easy to price.** Fin's CEO says software companies spend $20 to $30 per ticket resolved by people, against the $0.99 Fin charges (Lenny's Podcast).
- **Savings at early buyers are wide enough to make the business case easy to defend.** Safelite pays Sierra under $2 per transaction against $7.50 to $9 for a person (expert call), and Lorikeet publishes a price of $0.90 to $0.99 per resolved ticket (Lorikeet).
- **Voice is opening a second wave of spending in contact centers that still run mostly on people.** NiCE, a contact-center software incumbent, reports AI and self-service ARR of $362M growing 52% (NiCE).
- **Sales teams already pay agencies per meeting and per lead, which gives agents a known price to replace.** Fin charges $9.99 for each qualified lead it hands to a sales team (HackerNoon), and Justworks says an Actively AI agent produced about $1M of revenue on spend of around $160,000 (expert call).
- **Headwinds: The labs, the help desk platforms and the contact-center incumbents all sell a customer service agent now, which pushes prices down for everyone.** OpenAI launched its own customer service agent, Presence (OpenAI), and Salesforce now owns Fin (Salesforce).
- **Buyers spread work across vendors and consider building their own, so no vendor holds its account securely.** Chime says it would not bet on any one vendor and is considering building on local models of its own (expert call).
- **Results vary widely by customer, so buyers will soon compare agents with each other on resolution rate and price.** Fin resolves 30% to 40% of conversations at Smartly.io (expert call), against the 76% average that Salesforce reports for Fin (Salesforce).
- **Sales agents churn heavily, because agents that send cold email burn through prospects and fail to show value inside short pilots.** A former 11x advisor puts churn at 80% to 90%, the worst of any category he advises (expert call).
- **Salesforce bundles its own sales agents to replace point tools, squeezing standalone vendors in its accounts.** Salesforce says its $550 Agentforce 1 Edition replaces roughly $1,300 of point-solution spend per US sales rep (Salesforce).
- **Why we should not focus here: Customer service proves that buyers will pay per result, but the labs, the help desk platforms and the contact-center incumbents all sell the same countable unit at falling prices.** Sales agents are paid on meetings and leads that are easy to count and easy to game, so buyers churn when quality slips, and the customer database owners bundle their own agents. Buyers in both functions

keep their data so they can switch, and the customer service leaders already raised at roughly 45 to 100 times ARR by our estimate (company reports), which leaves a new entrant little room to win share or earn a strong return. We should use customer service prices as the benchmark for other functions and make no new bets in the category.

Example companies: Sierra, Lorikeet, Gradient Labs, Vida, Decagon, Cresta, Parloa, PolyAI, Omilia

E2. Back-Office Operations: Finance, Accounting and Procurement

- **Tailwinds: Finance teams repeat the same work every month, and each invoice, collection or reconciliation has a clear count and cost.** Xelix says it processes over 115M invoices a year (Xelix, claim), and Stuut says its collections agents cut overdue balances 40% (Stuut, claim).
- **Procurement savings are measured against total spend, which ties an agent's value to the money it saves on purchases as well as the labor it replaces.** In Magentic's example, a manufacturer spending $10B a year saves $50M by making its team 50% more efficient, while a 1% to 2% cut in purchase prices on that $10B, or $100M to $200M, is worth far more (Riding Unicorns), and Magentic says it charges only when savings are realized (Magentic, claim).
- **Procurement and finance agents run on top of the ERP without replacing it, which speeds approval and lets the buyer check results in its own records.** PayPal says "We weren't trying to replace our system of record" (expert call), and IKEA's agent already handles 45% to 50% of its procurement volume (expert call).
- **Small and mid-sized buyers see value within days, which shortens the sales cycle.** Novilla had Didero running in about three days and says it "would 100% renew" (expert call).
- **Accounting and payables agents now sell the finished job and are paid for it.** Basis says it never had a seat or token price for its core product and charges on outcomes (Upstarts), and Freehand says its agents decide whether to pay each invoice and "take accountability for the outcome" (Forbes).
- **Headwinds: Oracle is building agents into the ERP that many finance teams already run, which limits how far a startup can reach inside those accounts.** Oracle sells these agents inside its Fusion ERP through paid AI units, with a rules layer validating every action the model proposes (Forkast News).
- **Buyers keep a person on the final step, so the full price of the job moves to the agent slowly.** The chief executive of a procurement outsourcer says "I don't have any client that lets it go on its own" (expert call).
- **Consumption licenses with no share of savings cap revenue below the value created, and buyers can still switch without much pain.** IKEA pays its procurement agent vendor a consumption-based license with no share of the savings and reports little stickiness, with a replacement possible within seven to eight months (expert call).
- **Most finance agent companies sell subscriptions or keep their pricing private, so the move to pricing per unit of work is less proven than in customer service.** Pactum sells one annual subscription with no share of savings (Pactum), Tabs includes its agents in a subscription set by the customer's revenue (Tabs), and Xelix and Stuut announced funding without saying how they charge (Xelix and Stuut).
- **Why we should focus here: Finance and procurement work repeats every month, is easy to count and costs money when it goes wrong, so buyers pay for agents that cut the cost of each invoice, collection or order.** The agents sit on the buyer's ERP, so the result is counted in a record the buyer already trusts, deployment can take days and nobody has to replace a system to start. The work also runs across suppliers, banks and email outside any single record, which makes it harder for an ERP vendor to absorb than a help desk task. Revenue recurs with the monthly close and grows with the spend the agent handles, and we should back companies whose cost per invoice or order already falls with each new customer, because that is when margins move toward software levels.

Example companies: Basis, Magentic, fileAI, Freehand, Lio, Didero, Pactum, Adaptive, Definite, Elimentary, Zomma, Walter, HappyRobot, Augment

E3. Regulated Services: Healthcare, Insurance, Legal and Life Sciences

- **Tailwinds: Healthcare billing, insurer approval before treatment and referrals are rule-bound work that providers pay for by the claim or by the dollar recovered.** Amperos says it helps clients at 3,000 clinical locations recover claims worth "nearly $1 billion per year" (Amperos, claim), Anterior's fees to health plans can include a charge per automatically approved request (MedCity News), and SmarterDx bills hospitals only for coding findings that are approved and billed (SmarterDx).
- **Insurance runs on outsourced servicing, underwriting support and claims work, much of it on old systems that agents can now operate directly.** Palomar's COO says Pace resolves more than 90% of its service cases without a human touch (Pace, claim).
- **Companies that hold a license or act as the service provider can sell the whole job and keep its economics.** Harper, an AI-native commercial insurance brokerage, reports over 160 carrier partners and over 5,000 customers (TechCrunch), Reserv sells claims handling as a service (Reserv, claim), and Strala runs outsourced claims from first notice to payout (Coverager).
- **Legal agents are paid from the legal services budget that pays outside counsel, often per matter.** EvenUp prices per demand package, the file of evidence and damages a personal injury lawyer sends an insurer to settle a claim (Bessemer), and Lawhive, an AI-native consumer law firm, reports revenue above $35M (Fortune).
- **Drug companies are starting to buy research agents, beginning with target discovery, finding the gene or protein a new drug should act on, which gives vendors a paying customer for a clear unit of work.** Edison Scientific says one run equals about 6 months of a scientist's work (Edison Scientific, claim), and Incyte is deploying Edison's agent across its research work (BioPharm International).
- **Headwinds: Epic controls the record at most big health systems and limits outside AI, which slows startups in those accounts.** A Health Prime executive says Epic does not "allow integrations of AI outside of what they're already working on" (expert call).
- **Providers still review claims before submission because errors carry liability, so the agent does not yet replace the whole job.** A dermatology group's CIO asks, "If any of the wrong claims go in, who takes a liability?" (expert call).
- **The labs are moving into healthcare administration with their own tools and sample workflows.** Anthropic released healthcare connectors and a sample skill for reviewing requests for insurer approval before treatment (Anthropic).
- **Insurance buyers are pitched constantly and expect cheaper offers built on open models, which caps prices for vendors that sell tools.** An Accelerant executive who buys from Pace says he is pitched "at least two or three a day" and expects a rival offer "at a 10th of the price by using open-source models" (expert call).
- **Legal work depends on judgment, so lawyer time per matter falls slowly and keeps margins below software levels.** Crosby's Ryan Daniels tracks lawyer review minutes every week and says the firm lost a lot of money on its pricing before getting it right (Stanford Law School).
- **Why we should focus here: Regulated services are paid by the claim, the policy, the matter or the run, so outcome pricing ties revenue to a unit the buyer already buys from outsourcers and law firms.** Companies that hold a license or take legal responsibility for the result keep more of the price than tool vendors and face the least pressure from cheaper open models. Healthcare billing agents are paid on cash the provider sees in its own books, and Epic's limits matter least in independent and specialty practices. As drafting tools get cheap, we should back the firms that sell finished legal work under their own license, because they keep the price of the outside counsel they replace. Research outcomes take years to prove, and Edison ended its founding subscriptions seven months after launching at $200 per run (Edison Scientific), so in life sciences we should back companies that already show repeat paid runs at the same customer.

Example companies: Procode, EvenUp, Crosby, Anterior, SmarterDx, Reserv, Strala, Harper, Lawhive, Prosper AI, Pace, Amperos Health, Candid Health, GenHealth.ai, Tennr, Sixfold, FurtherAI, Edison Scientific